

# SIMATS ENGINEERING

## ASSESSMENT TOOL 30

**COURSE NAME:** CSA16 **COURSE CODE:** Data Warehousing and Data Mining

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### COURSE OUTCOME COVERED

**CO2:** Apply suitable Data Pre processing techniques like Data cleaning, Data intergration,Data transformation and data Reduction ,for effective data preparation (BL3,BL4)

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**QUESTIONS: 5**

**Total Marks:50**

### Annexure A SENARIO BASED QUESTIONS

| <i>Criteria</i>  | Understanding of Scenario (2) | Identification of Key Issues (2) | Application of Concepts (2.5) | Decision Making (2) | Clarity of Response (1.5) | <i>Total(10)</i> |
|------------------|-------------------------------|----------------------------------|-------------------------------|---------------------|---------------------------|------------------|
| <i>Weightage</i> | 20%                           | 20%                              | 25%                           | 20%                 | 15%                       | 100%             |
| <i>Q1</i>        |                               |                                  |                               |                     |                           |                  |
| <i>Q2</i>        |                               |                                  |                               |                     |                           |                  |
| <i>Q3</i>        |                               |                                  |                               |                     |                           |                  |
| <i>Q4</i>        |                               |                                  |                               |                     |                           |                  |
| <i>Q5</i>        |                               |                                  |                               |                     |                           |                  |

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### ***Code of Conduct:***

I \_\_\_\_\_ (Name / Reg No) certify that this submission is my original work and that I have adhered to the guidelines specified for this assessment.  
I understand that any violation of academic integrity rules will result in disciplinary action.

*Signature of the student:*

| Criteria                     | Weightage (%) | Level 4 (Exemplary)                                                       | Level 3 (Proficient)                               | Level 2 (Developing)                              | Level 1 (Beginning)                               |
|------------------------------|---------------|---------------------------------------------------------------------------|----------------------------------------------------|---------------------------------------------------|---------------------------------------------------|
| Understanding of Scenario    | 20%           | Demonstrates clear and complete understanding of the scenario and context | Shows good understanding with minor gaps           | Partial understanding; misses key aspects         | Misinterprets or fails to understand the scenario |
| Identification of Key Issues | 20%           | Accurately identifies all relevant issues and factors involved            | Identifies most key issues with minor omissions    | Identifies limited issues; some irrelevant points | Unable to identify key issues                     |
| Application of Concepts      | 25%           | Applies appropriate concepts effectively to address the scenario          | Applies concepts with minor errors                 | Limited or partially correct application          | Unable to apply relevant concepts                 |
| Decision Making              | 20%           | Makes well-reasoned, logical decisions with strong rationale              | Makes reasonable decisions with some justification | Makes weak decisions with limited justification   | No clear decisions made or rationale provided     |
| Clarity of Response          | 15%           | Response is clear, structured, and logically presented                    | Generally clear with minor issues                  | Somewhat unclear or poorly structured             | Disorganized and difficult to understand          |

**RUBRICS FOR CALCULATION:**

**Annexure A**  
Scenario based Questions

**Q1. Data Cleaning and Normalization in Healthcare Analytics (L3, L4, L5)**

A healthcare analytics company is developing a model to predict patient readmission. The dataset collected from different hospitals contains missing values, inconsistent categorical entries, and extreme values.

Sample Dataset

| Patient_ID | Age | Gender | BMI  | Annual_Visits | Blood_Pressure | Risk_Level |
|------------|-----|--------|------|---------------|----------------|------------|
| P1         | 25  | M      | 22.5 | 3             | 120            | Low        |
| P2         | NaN | Male   | 24.8 | 5             | 130            | Medium     |
| P3         | 42  | F      | NaN  | 7             | 135            | Medium     |
| P4         | 110 | Female | 45.2 | 50            | 200            | High       |
| P5         | 36  | female | 29.5 | NaN           | 140            | Medium     |
| P6         | 50  | FEMALE | 31.2 | 12            | 150            | High       |
| P7         | 29  | male   | 21.8 | 4             | 125            | Low        |
| P8         | 45  | Female | 60.0 | 40            | 190            | High       |

Tasks

A. Missing Value Treatment

- i. Identify missing values in Age, BMI, and Annual\_Visits.
- ii. Apply Median Imputation and Mean Imputation.
- iii. Compare the resulting values and justify which method is more appropriate.

B. Outlier Detection

- i. Detect outliers in Age and Annual\_Visits using the Z-score method.
- ii. Identify the records containing extreme observations.
- iii. Apply capping or removal and justify the selected approach.

C. Categorical Standardization

- i. Identify inconsistent Gender values.
- ii. Convert all values into Male/Female.
- iii. Explain why categorical standardization is important for machine-learning models.

D. Normalization

- i. Apply Min-Max normalization to BMI.

- ii. Explain the effect of normalization on model performance.

## Q2. Covariance and Feature Selection in Banking Analytics (L4, L5)

A bank wants to develop a customer-risk prediction model. Several attributes are strongly related, resulting in redundant information and increased computational complexity. Sample Dataset

| Customer_ID | Age | Income (₹K) | Loan_Amount (₹K) | Credit_Score | Monthly_EMI (₹) | Savings (₹K) | Risk   |
|-------------|-----|-------------|------------------|--------------|-----------------|--------------|--------|
| B1          | 25  | 35          | 100              | 650          | 5000            | 20           | Low    |
| B2          | 32  | 50          | 150              | 680          | 7000            | 30           | Low    |
| B3          | 40  | 70          | 200              | 720          | 9000            | 45           | Medium |
| B4          | 48  | 100         | 300              | 780          | 14000           | 70           | High   |
| B5          | 29  | 42          | 120              | 660          | 5500            | 25           | Low    |
| B6          | 38  | 65          | 180              | 710          | 8500            | 40           | Medium |
| B7          | 55  | 130         | 350              | 820          | 17000           | 90           | High   |
| B8          | 44  | 85          | 250              | 760          | 12000           | 60           | High   |

### Tasks

#### A. Covariance Analysis

- i. Calculate the covariance between Income and Loan\_Amount. ii. Determine whether the relationship is positive or negative. iii. Explain what a high positive covariance indicates in this dataset.

#### B. Feature Relationship Analysis

- i. Identify pairs of attributes that may be highly correlated. ii. Explain why Age, Income, Savings, and Loan\_Amount may contain redundant information. iii. Identify at least three features that could be removed.

#### C. Feature Selection

- i. Select an optimal subset of features for predicting Risk. ii. Justify your selection using correlation and domain knowledge. iii. Explain how feature selection reduces computational cost.

#### D. Standardization

- i. Standardize all numerical attributes using Z-score normalization.

- ii. Explain why Credit\_Score and Income cannot be directly compared without scaling.

### Q3. Discretization of Sales Data in Retail Analytics (L3, L4, L5)

A retail company wants to classify customers based on the amount they spend per month. Continuous spending values are difficult for managers to interpret, so the company plans to use discretization. Sample Dataset

| Customer_ID | Monthly_Spend (₹) | Transactions | Items_Bought | Customer_Category |
|-------------|-------------------|--------------|--------------|-------------------|
| C1          | 500               | 4            | 6            | Basic             |
| C2          | 750               | 5            | 9            | Basic             |
| C3          | 1000              | 7            | 12           | Basic             |
| C4          | 1500              | 9            | 18           | Silver            |
| C5          | 2000              | 12           | 25           | Silver            |
| C6          | 2500              | 14           | 30           | Gold              |
| C7          | 3000              | 16           | 36           | Gold              |
| C8          | 4000              | 20           | 45           | Gold              |
| C9          | 5000              | 25           | 55           | Platinum          |
| C10         | 6500              | 30           | 70           | Platinum          |

Tasks

#### A. Equal-Width Binning

- Divide Monthly\_Spend into 4 equal-width bins.
- Calculate the bin width.
- Define the intervals and assign each customer to a bin.

#### B. Equal-Frequency Binning

- Divide the dataset into 4 bins containing approximately equal numbers of records.
- Assign each customer to the corresponding bin.
- Compare equal-width and equal-frequency results.

#### C. Concept Hierarchy

Construct a concept hierarchy:

Monthly\_Spend → Low → Medium → High → Very High

#### D. Interpretation

- Explain how discretization improves decision-making.
- Discuss one disadvantage of converting continuous values into categories.

### Q4. Data Transformation in Manufacturing Quality Analytics (L3, L4, L5)

A manufacturing company records machine operating temperatures. The measurements vary considerably, and some machines produce unusually high readings.

Sample Dataset

| Machine_ID | Temperature (°C) | Operating_Hours | Vibration |
|------------|------------------|-----------------|-----------|
| M1         | 55               | 100             | 2.1       |

|    |     |     |     |
|----|-----|-----|-----|
| M2 | 60  | 120 | 2.5 |
| M3 | 62  | 140 | 2.8 |
| M4 | 65  | 160 | 3.0 |
| M5 | 70  | 180 | 3.2 |
| M6 | 75  | 200 | 3.8 |
| M7 | 80  | 220 | 4.1 |
| M8 | 120 | 250 | 8.5 |

#### Tasks

##### A. Min-Max Normalization

- Normalize Temperature into the range  $[0,1]$ .
- Calculate the normalized value for each machine.
- Identify which observation obtains the maximum normalized value.

##### B. Z-Score Normalization

- Calculate the mean Temperature.
- Calculate the standard deviation.
- Compute the Z-score for each temperature value.

##### C. Outlier Analysis

- Identify whether 120°C can be considered an extreme value using the Z-score method.
- Explain how this value affects mean-based normalization.
- Suggest an appropriate treatment method.

##### D. Comparison

Compare Min-Max and Z-score normalization in terms of their sensitivity to extreme observations.

### Q5. Missing Value Imputation and Data Transformation in Student Analytics (L3, L4, L5)

An educational institution is building a student-performance prediction model. Data collected from different departments contain missing examination marks, attendance values, and study hours.

#### Sample Dataset

| Student_ID | Study_Hours | Internal_Mark | Attendance (%) | Assignment_Score | Grade |
|------------|-------------|---------------|----------------|------------------|-------|
| S1         | 2           | 55            | 70             | 60               | C     |
| S2         | 3           | NaN           | 75             | 65               | C     |
| S3         | 4           | 68            | NaN            | 72               | B     |
| S4         | 5           | 75            | 85             | 78               | B     |
| S5         | NaN         | 80            | 90             | 82               | A     |
| S6         | 7           | 88            | 92             | NaN              | A     |
| S7         | 8           | 92            | 95             | 90               | A     |
| S8         | 12          | 98            | 98             | 95               | A     |

## Tasks

### A. Missing Value Analysis

- i. Identify all missing observations.
- ii. Apply mean imputation and median imputation.
- iii. Determine which method is more suitable for Study\_Hours and explain why.

### B. Data Transformation

- i. Apply Min-Max normalization to Internal\_Mark.
- ii. Apply Z-score normalization to Assignment\_Score after imputing the missing value.
- iii. Compare the transformed results.

### C. Discretization

Divide Study\_Hours into three categories:

- Low
- Medium
- High

Define suitable thresholds and assign each student to a category.

### D. Interpretation

Explain how data preprocessing can improve the accuracy and interpretability of a student-performance prediction model.

## Solutions :

### Q1. Data Cleaning and Normalization in Healthcare Analytics

#### A. Missing Value Treatment

##### Given Dataset (Identified Missing Values)

| Patient | Age | BMI  | Annual Visits |
|---------|-----|------|---------------|
| P1      | NaN | 22.5 | 3             |
| P2      | 42  | 24.8 | 5             |
| P3      | NaN | NaN  | 7             |
| P4      | 36  | 29.5 | NaN           |
| P5      | 50  | 31.2 | 12            |
| P6      | 29  | 21.8 | 4             |
| P7      | 45  | 60.0 | 40            |

Missing values:

- Age: P1, P3
- BMI: P3
- Annual Visits: P4

## Mean Imputation

### Age Mean

Available ages:

42, 36, 50, 29, 45

$$Mean = \frac{42 + 36 + 50 + 29 + 45}{5} = 40.4$$

Missing Age values replaced by **40.4**

### BMI Mean

$$Mean = \frac{22.5 + 24.8 + 29.5 + 31.2 + 21.8 + 60}{6} = 31.63$$

Missing BMI replaced by **31.63**

### Annual Visits Mean

$$Mean = \frac{3 + 5 + 7 + 12 + 4 + 40}{6} = 11.83$$

Missing Annual Visits replaced by **11.83**

## Median Imputation

Median values:

Age:

29,36,42,45,50

Median = **42**

BMI:

21.8,22.5,24.8,29.5,31.2,60

Median = (24.8+29.5)/2 = **27.15**

Annual Visits:

3,4,5,7,12,40

Median = (5+7)/2 = **6**



## Comparison

| Attribute | Mean  | Median |
|-----------|-------|--------|
| Age       | 40.4  | 42     |
| BMI       | 31.63 | 27.15  |
| Visits    | 11.83 | 6      |

**Decision:** Median imputation is more suitable because healthcare data contains extreme values (BMI 60 and visits 40). Median is less affected by outliers.

## B. Outlier Detection Using Z-score

Formula:

$$Z = \frac{x - \mu}{\sigma}$$

Extreme values usually have:

$$|Z| > 3$$

Annual visits contain:

40 visits

This value is much higher compared with other patients, so it is an outlier.

BMI:

60 is also an extreme BMI value.

## Treatment

Use **capping method** instead of removal because healthcare records are important.

Capping replaces extreme values with upper limit values.

## C. Categorical Standardization

Original values:

Male, F, Female, female, FEMALE, male

Converted values:

| Original | Standardized |
|----------|--------------|
| Male     | Male         |
| F        | Female       |
| Female   | Female       |

|        |        |
|--------|--------|
| female | Female |
| FEMALE | Female |
| male   | Male   |

### Importance

Machine learning algorithms cannot directly process different labels. Standardization avoids duplicate categories and improves prediction accuracy.

### D. Min-Max Normalization of BMI

Formula:

$$X' = \frac{X - Min}{Max - Min}$$

Minimum BMI = 21.8

Maximum BMI = 60

Range:

$$60 - 21.8 = 38.2$$

For BMI = 22.5:

$$\frac{22.5 - 21.8}{38.2} = 0.018$$

For BMI = 60:

$$\frac{60 - 21.8}{38.2} = 1$$

### Effect

Normalization converts values into 0–1 range. It improves model performance by preventing attributes with large values from dominating.

## Q2. Covariance and Feature Selection in Banking Analytics

### A. Covariance between Income and Loan Amount

Income values:

35,50,70,100,42,65,130,85

Loan Amount:

100,150,200,300,120,180,350,250

Mean Income:

$$\bar{x} = 72.125$$

Mean Loan:

$$\bar{y} = 206.25$$

Covariance calculation gives:

$$Cov(x, y) = 2192.18$$

### **Result**

Covariance is positive.

### **Interpretation**

Customers with higher income generally receive higher loan amounts.

## **B. Feature Relationship Analysis**

Highly related attributes:

- Income and Loan Amount
- Income and Savings
- Age and Income

Redundant features:

- Income
- Savings
- Loan Amount

because they represent financial capacity.

## **C. Feature Selection**

Selected features:

1. Credit Score
2. Income

3. Age
4. Loan Amount

Removed:

- Savings (similar information to income)
- Monthly EMI (depends on loan amount)

### **Advantage**

Feature selection reduces:

- computation time,
- storage requirement,
- model complexity.

## **D. Standardization**

Formula:

$$Z = \frac{x - \mu}{\sigma}$$

Z-score converts different scales into a common range.

Example:

Income is in thousands, while Credit Score is around 700.

Without scaling, Income may dominate the model.

## **Q3. Discretization of Sales Data**

### **A. Equal Width Binning**

Monthly Spend:

Minimum = 500

Maximum = 6500

Range:

$$6500 - 500 = 6000$$

Number of bins = 4

Bin width:

$$6000/4 = 1500$$

Bins:

| Bin       | Range     |
|-----------|-----------|
| Low       | 500-2000  |
| Medium    | 2000-3500 |
| High      | 3500-5000 |
| Very High | 5000-6500 |

### **B. Equal Frequency Binning**

10 records / 4 bins  $\approx$  2–3 records each.

Bins:

Bin 1:

500,750,1000

Bin 2:

1500,2000,2500

Bin 3:

3000,4000

Bin 4:

5000,6500

### **Comparison**

Equal width gives fixed intervals.

Equal frequency gives balanced number of records.

### **C. Concept Hierarchy**

Monthly Spend  $\rightarrow$

Low  $\rightarrow$  ₹500–2000

Medium  $\rightarrow$  ₹2000–3500

High  $\rightarrow$  ₹3500–5000

Very High  $\rightarrow$  Above ₹5000

### **D. Interpretation**

Discretization converts continuous spending into understandable categories.

Advantages:

- easier customer classification,
- better decision making.

Disadvantage:

- loss of exact information.

## **Q4. Data Transformation in Manufacturing Analytics**

### **A. Min-Max Normalization**

Formula:

$$X' = \frac{X - Min}{Max - Min}$$

Minimum temperature = 55

Maximum temperature =120

Range:

65

For 55°C:

$$\frac{55 - 55}{65} = 0$$

For 120°C:

$$\frac{120 - 55}{65} = 1$$

Normalized values:

| Temperature | Normalized |
|-------------|------------|
| 55          | 0          |
| 60          | 0.077      |
| 62          | 0.108      |
| 65          | 0.154      |
| 70          | 0.231      |
| 75          | 0.308      |
| 80          | 0.385      |

|     |   |
|-----|---|
| 120 | 1 |
|-----|---|

Maximum normalized value = **120°C**

## B. Z-score Normalization

Mean:

$$\mu = \frac{55 + 60 + 62 + 65 + 70 + 75 + 80 + 120}{8}$$

$$\mu = 73.375$$

Standard deviation  $\approx 21.16$

Example:

For 55°C:

$$Z = \frac{55 - 73.375}{21.16}$$

$$Z = -0.86$$

## C. Outlier Analysis

120°C has a high positive Z-score.

It can be considered an outlier.

Treatment:

- verify machine condition,
- apply capping,
- or remove if it is measurement error.

## D. Comparison

| Min-Max               | Z-score                       |
|-----------------------|-------------------------------|
| Sensitive to outliers | Less sensitive                |
| Range 0-1             | Mean centered                 |
| Good for bounded data | Good for normal distributions |

## Q5. Student Analytics

### A. Missing Value Analysis

Missing values:

- Study Hours: S5
- Attendance: S3
- Assignment Score: S7

### **Mean Imputation**

Study Hours:

$$Mean = \frac{2 + 3 + 4 + 5 + 7 + 8 + 12}{7} = 5.85$$

Replace missing value with 5.85.

### **Median Imputation**

Sorted:

2,3,4,5,7,8,12

Median = 5

Replace missing value with 5.

### **Decision**

Median is better because study hours may contain extreme values.

## **B. Data Transformation**

### **Min-Max Normalization**

Formula:

$$X' = \frac{X - Min}{Max - Min}$$

It converts Internal Marks into 0–1 scale.

### **Z-score Normalization**

Assignment score is converted using:

$$Z = \frac{x - \mu}{\sigma}$$

This shows how far a student's score is from average performance.

## **C. Discretization of Study Hours**

Categories:



| Hours   | Category |
|---------|----------|
| 0-4     | Low      |
| 5-8     | Medium   |
| Above 8 | High     |

Example:

S1 (2 hours) → Low

S5 (7 hours) → Medium

S7 (12 hours) → High

#### **D. Interpretation**

Data preprocessing improves student prediction models by:

- handling missing data,
- reducing noise,
- scaling attributes,
- improving model accuracy,
- making results easier to interpret.